higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

NEW VENTURE CREATION
NQF LEVEL 4

(3011034)

14 March 2019 (Y-Paper)
13:00–16:00

This question paper consists of 8 pages.

NCV

TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Start each question on a NEW page.
5. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 An entrepreneur is someone who is willing to take financial risks in the hope of making a profit.

1.1.2 Cash flow is the difference between cash coming into and out of the business.

1.1.3 An invoice is a document issued by a buyer to a seller that indicates the quantities and costs of the products or services provided by the buyer.

1.1.4 A contract is any legal document that any person would sign even if they are not sure of the contents.

1.1.5 Morals refer to the principles on which one's judgement of right and wrong are based.

1.1.6 Noncompliance means failure or refusal to comply with law, regulations or terms of a contract.

1.1.7 Delict is the legal term which signifies having committed a wilful wrong or done something intentionally.

1.1.8 The exchange rate is the value of one currency for the purpose of conversion to another.

1.1.9 Total costs are equal to fixed costs minus variable costs.

1.1.10 The degree to which demand for goods or services varies with its price is called elasticity of demand.

(10 × 1) (10)

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1.2 Give ONE term for each of the following descriptions. Write only the term next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

1.2.1 External factor that provides an organisation with a means to improve its performance and competitive advantage in a market environment

1.2.2 Type of asset purchased for long-term use and not likely to be converted quickly into cash

1.2.3 Costs involved before starting a business

1.2.4 Business will be profitable and have funds to ensure effective operating

1.2.5 Idea that businesses should balance profit-making activities with activities that benefit society

1.2.6 Act that promotes black-owned businesses

1.2.7 What UIF stands for

1.2.8 Process that gives an opportunity to the widest possible range of suppliers to quote

1.2.9 Expenses that do not change over the short-term even if a business experiences changes in its sales volume

1.2.10 Total amount of money received for goods sold or services rendered

(10 × 1) (10)
[20]

TOTAL SECTION A: 20

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SECTION B

Tekkie wash



Tekkie Wash started as a joke when Bongo Mahambehlala was watching television with a friend and saw someone cleaning shoes. Mahambehlala, an enthusiastic sneaker person, stated that he could make money washing tekkies. Humour became reality when he started charging his friends to wash their shoes. They then recommended him to others and before he knew it, he had built up a client base and was running a home-based business with a partner, Phila Magidigidi.

Bongo says they built the business out of a passion for sneakers. "Shoes are not categorised as accessories, they are a way we see each other," he says. Clean shoes are a status symbol, a sign that the wearer is going places. Bongo is living his dream, helping to give others pride in their shoes and a positive self-image along the way.

[Adapted from: *http://beautifulnews.news24.com/Beautiful-News/your-dirty-shoes-changed-my-life-20161122]*

QUESTION 2

2.1 Give ONE example of each of the following characteristics Bongo displays:

2.1.1 Personal strength

2.1.2 Ability

2.1.3 Passion

(3 × 2) (6)

2.2 Name TWO sources of possible competition for Bongo and Phila. (2 × 2) (4)

2.3 Explain the term *networking* with regard to a business. (4)

2.4 Give an example of networking done by Tekkie Wash. (2)

2.5 Name THREE factors to be considered by Tekkie Wash when planning marketing or advertising. (3 × 2) (6)

2.6 Name another type of source financing Bongo and Phila must consider for their business (excluding debt financing). (2)

2.7 Explain THREE tax responsibilities for Tekkie Wash. (3 × 2) (6)

[30]

QUESTION 3

3.1 List SIX monthly operating expenses Tekkie Wash could expect. (6)

3.2 Discuss FOUR advantages of short-term loans. (4 × 2) (8)

3.3 List SIX avenues which are available where Bongo and Phila can source funding from. (6)

3.4 List EIGHT government schemes in South Africa, which can help entrepreneurs when starting a new venture. (8 × 1) (8)

3.5 Briefly explain the following sentence from the case study in your own words "Clean shoes are a status symbol, a sign that the wearer is going places". (2)

[30]

QUESTION 4

4.1 Explain the purpose of a code of conduct for a business. (6)

4.2 When is the code of conduct given to staff members? (2)

4.3 List FOUR basic items covered in a business' code of conduct. (4 × 2) (8)

4.4 A code of conduct should address the specific consequences an employee faces if violating the code of conduct.

List FOUR aspects which should be addressed. (4 × 2) (8)

4.5 An ethical organisation should ensure that it's marketing and advertising statement meets the standards laid down by its code of practice.

Give THREE advices to Bongo and Phila on what/ what not to include their marketing and advertising statements. (3 × 2) (6)

[30]

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QUESTION 5

5.1 List FIVE acts/ laws/ legislation that regulate people management. (5 × 2) (10)

5.2 Explain to Bongo and Phila, the FOUR consequences of NOT managing risks in their business. (4 × 2) (8)

5.3 Risk management helps one to select the way in which a risk is dealt with.

Briefly discuss THREE ways Bongo and Phila can apply to deal with risk. (3 × 2) (6)

5.4 Discuss each of the following terms:

5.4.1 Legal liability

5.4.2 Contractual liability

5.4.3 Negligence

(3 × 2) (6)
[30]

QUESTION 6

6.1 Give FOUR examples of variable costs for Tekkie Wash. (4 × 2) (8)

6.2 Determine how many pairs of tekkies Bongo and Phila need to clean per month to reach breakeven point if they charge R50 to clean a pair of tekkies and their variable costs are R5 per pair. Their fixed costs amount to R7 515 per month.

HINT: Use the formula:

$$\text{Breakeven} = \frac{\text{fixed costs}}{\text{contribution}}$$

(8)

6.3 Use the answer from QUESTION 6.2 and the fact that Bongo and Phila work on average 21 days per month and calculate how many pairs of tekkies they need to wash in a day to break even. (4)

6.4 Briefly describe FIVE external factors that can influence the price charged by Bongo and Phila. (5 × 2) (10)
[30]

QUESTION 7

7.1	Explain the trading cycle relevant to Tekkie Wash (NO sketch).	(6 × 2)	(12)
7.2	List SIX financial institutions (banks) which offer loans.		(6)
7.3	Which THREE problems could Bongo and Phila experience when trying to obtain debt financing to expand the business?	(3 × 2)	(6)
7.4	Name THREE specific limitations regarding Tekkie Wash.	(3 × 2)	(6)
			[30]

TOTAL SECTION B: 120
GRAND TOTAL: 200

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